Internal Use

ABS-CBN CORPORATION

IN THE SERVICE OF THE FILIPINO

Group 4

Internal Use

What

Content creation and distribution company

Whom

Serves Filipino audiences (local & global)

Where

Competes in broadcast, digital, and streaming markets

PRODUCT LINE

Content Production and Distribution

Digital Platforms

YouTube,Facebook, iWantTFC, social platforms

Revenue: digital ads, subscriptions, sponsorships

Licensing & Affiliates

Content licensing to ALLTV, Netflix, international partners

Revenue: licensing fees & royalties

Films, Music & Live Events

Films, recorded music, concerts & tours

Revenue: ticket sales, streaming royalties, sponsorships

Cable TV and Broadband Services

Blocktime, carriage, advertising arrangements, cable subscriptions

Revenue: ad sales & carriage fees

Environmental Scanning

P Broadcasting Franchise and Regulatory Permission to Operate

E GDP Growth Rate

S Social Media and Digital Communication Trends

T Rate of Technological Change

"Regulatory risk permanently weakens broadcast-based strategies → growth must avoid franchise dependence."

Attractiveness

The Philippine media and entertainment content industry is **low to moderately attractive** due to intense competition, high buyer power, and weak pricing control.

Rivalry

Direct competitors: GMA Network, TV5 (own broadcast franchises, full ad control)
Indirect competitors: Netflix, YouTube, TikTok (on-demand, global scale)

Power of Buyers

Buyers include **advertisers**, **audiences**, and **distribution partners**

Strengths

- S1- Strong Digital Distribution and Multi-Platform Production (SM/OP)
- S2 – International Reach and Global Filipino Audience (SM)
- S3 – Brand Legacy and Rich IP Library Content (SM)

Weaknesses

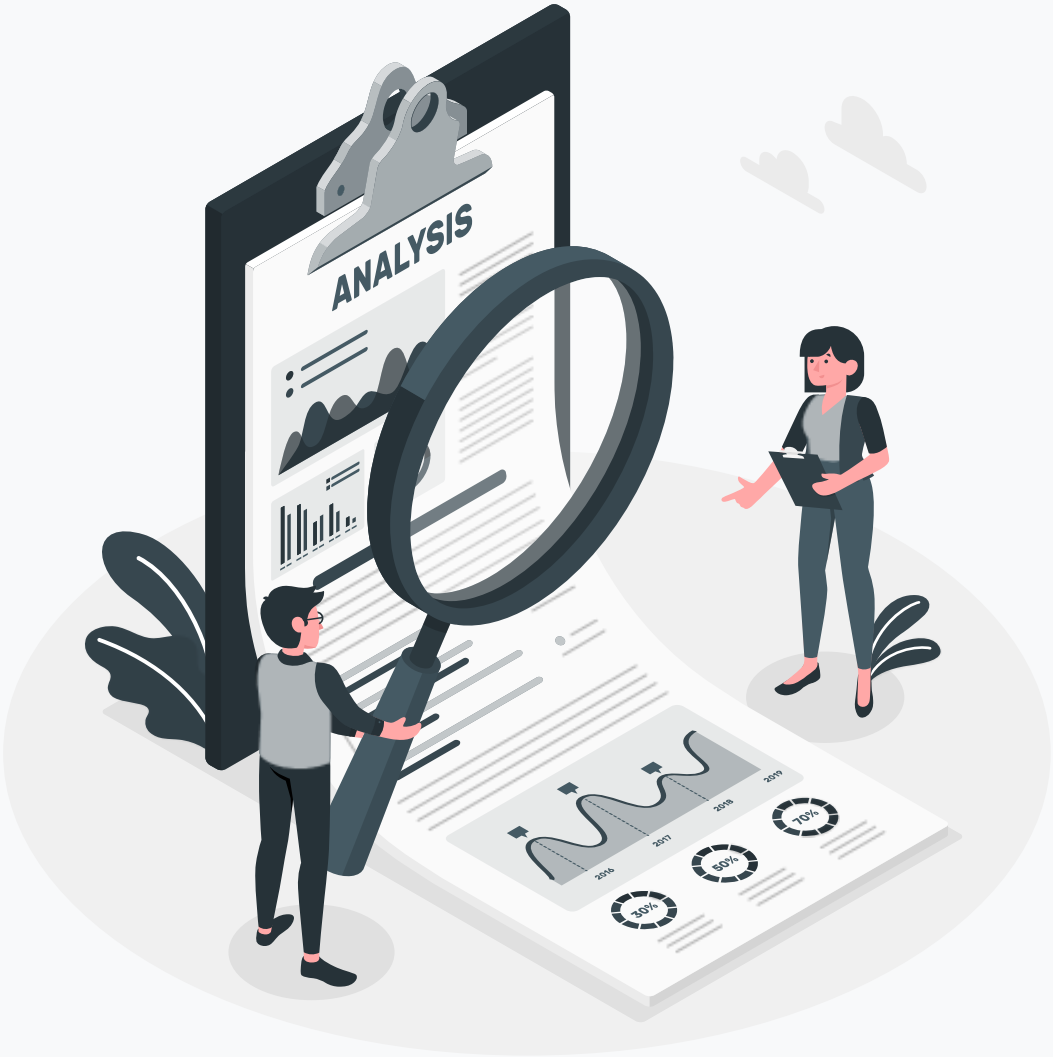
- W1 – Continued Operating Losses Impact Financial Stability (AF)
- W2 - Heavy Reliance on Traditional Advertising (AF)
- W3 – Dependency on Partnerships for Free-to-Air Reach and Distribution (SM)

Opportunities

- O1 – Youth-Driven Demand for On-Demand and Creator-Led Content (S2, S1)
- O2 – Data-Driven Monetization and Content Optimization (T3, T1)

Threats

- T1 – Advertising Revenue Volatility Due to Economic Cycles (E1, E4)
- T2 – Limited Domestic Willingness to Pay for Premium Content (E5, S5)



2.34
External Factor Evaluation

2.64
Internal Factor Evaluation

“Internal capabilities slightly outweigh external pressures → execution quality will determine recovery.”

Strategy Formulation

TOWS

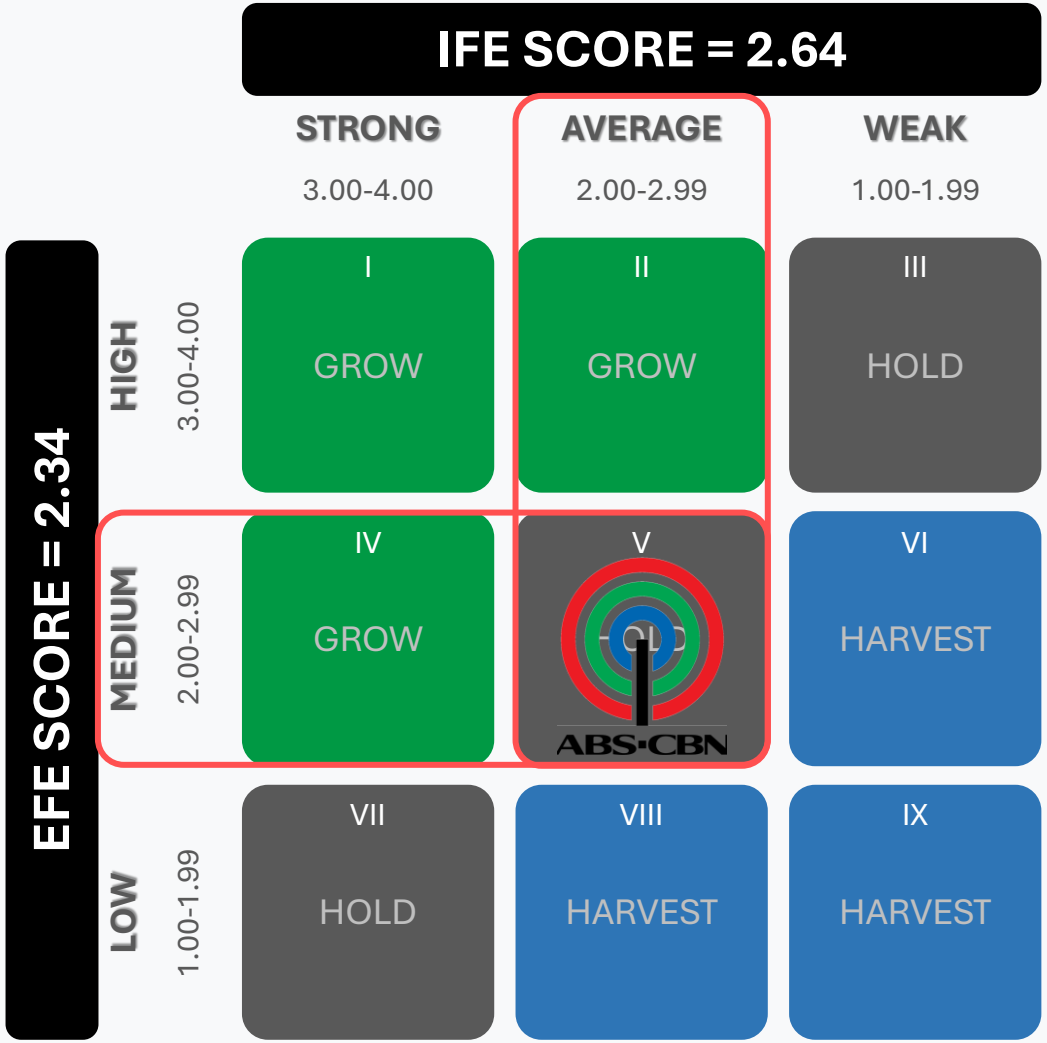
SO (Strength – Opportunity) Strategies

- **Market Development** – Shifting growth to iWantTFC offsets broadcast reach loss by leveraging brand trust and a global Filipino audience to drive data-owned, subscription-led revenue.
- **Market Penetration** – Focus on monetizable events such as voting, star-driven campaigns, and subscriptions, while regaining leverage with advertisers through increased reach
- **Concentric Diversification** – Monetizing ABS-CBN's IP library via licensing and co-productions delivers high-ROI global revenue with low capital needs while reducing platform and political risk.

WO (Weakness – Opportunity) Strategies

- **Product Development** – Focus on creating high-quality content while reallocating resources to formats and improvements that drive higher iWantTFC viewership.
- **Concentric Diversification** – Creator partnerships let ABS-CBN scale content, stay relevant to youth trends, and grow capital-efficiently while avoiding high production costs and financial strain.

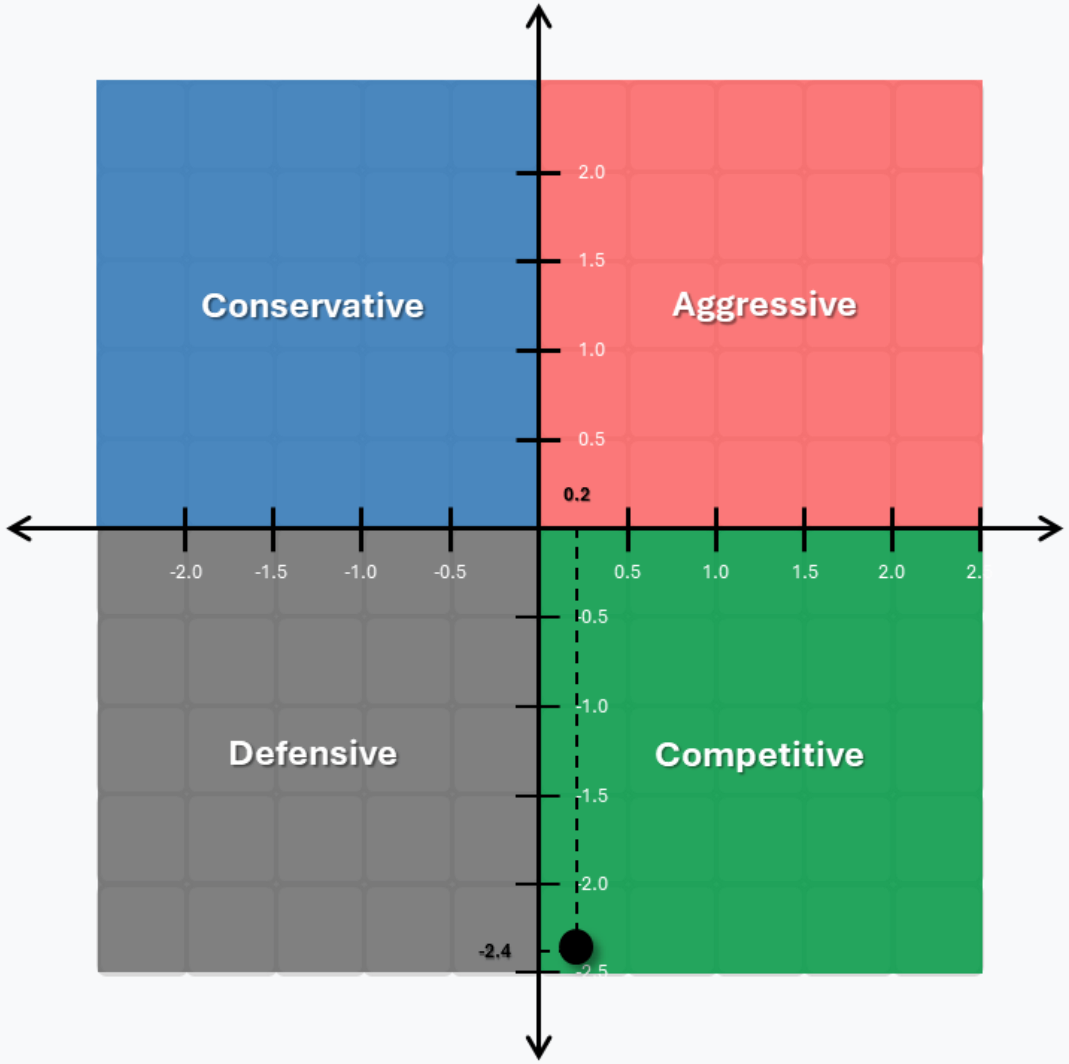
...together, these strategies reinforce an asset-light, digital-first growth model focused on product development and market penetration, while strengthening monetization control and financial sustainability.



IE MATRIX

- Maintain core businesses with proven traction (TFC, iWantTFC, licensing)
- Pursue selective growth in digital and global markets
- Avoid heavy capital investments tied to broadcast infrastructure
- Focus on efficiency, partnerships, and monetization of existing assets

SPACE MATRIX



Financial Position (FP) ABS-CBN is still operating at a net loss, but losses have significantly narrowed from 2023 to 2024.

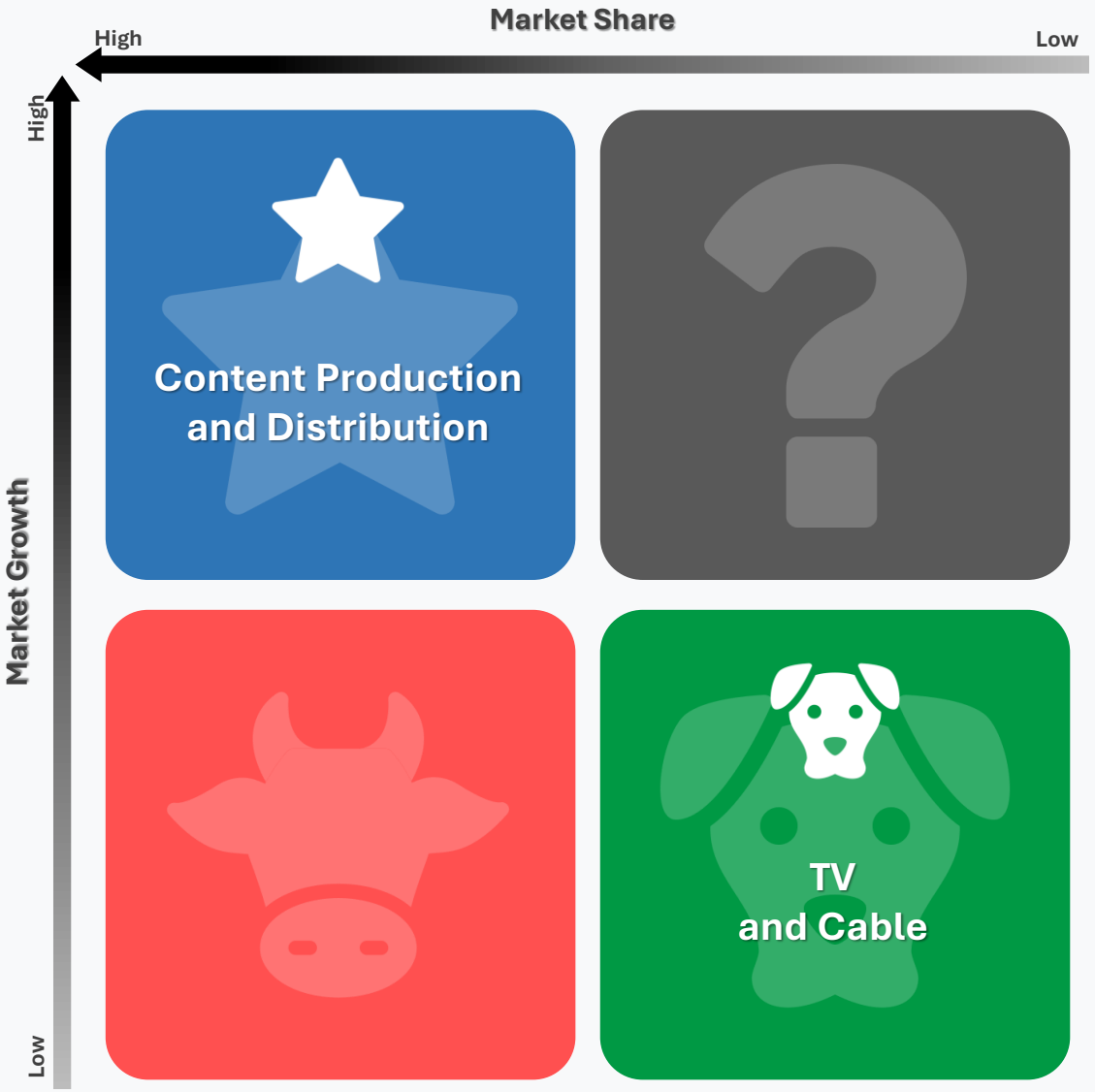
Stability Position (SP) The industry environment is unstable due to intense competition, high threat of substitutes, and strong bargaining power of buyers and platforms

Competitive Position (CP) ABS-CBN has strong competitive advantages in content quality, brand equity, talent management, and digital reach, especially among overseas Filipinos through TFC and iWantTFC.

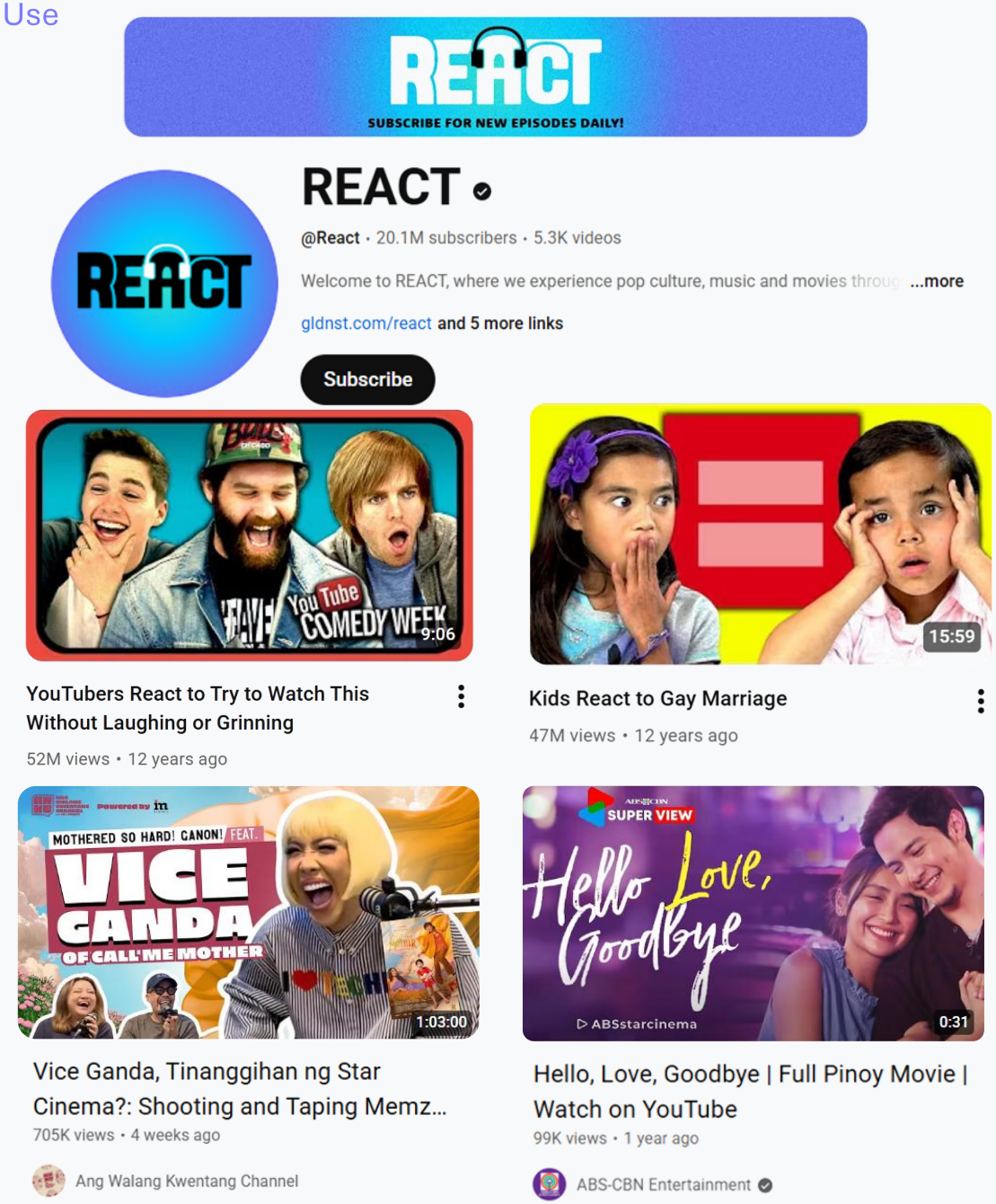
Industry Position (IP) The media and entertainment industry shows high growth potential in digital advertising, streaming, and online content consumption.

BCG MATRIX

ABS-CBN's main revenue driver is its content production and distribution, which contributed ₱11.9 billion to total revenue in 2024. This amount represents 69 percent of the company's total revenue for the year. TV and Cable represent the other major revenue stream, contributing 30 percent of total revenue in 2024.



Strategy Implementation



STRATEGIC DIRECTION

Posture Result : Competitive

- Compete through differentiation, not scale
- Leverage strong content quality, brand equity, and consumer trends
- Focus on proven formats that attract stable audiences and advertisers
- Expand revenue via digital platforms such as iWantTFC and YouTube
- Grow international reach through licensing and TFC distribution
- Prioritize partnerships, co-productions, and blocktime over asset-heavy investments

Financial
Internal Business Process
BALANCED SCORECARD
Customer
Learning and Growth

BALANCED SCORECARD

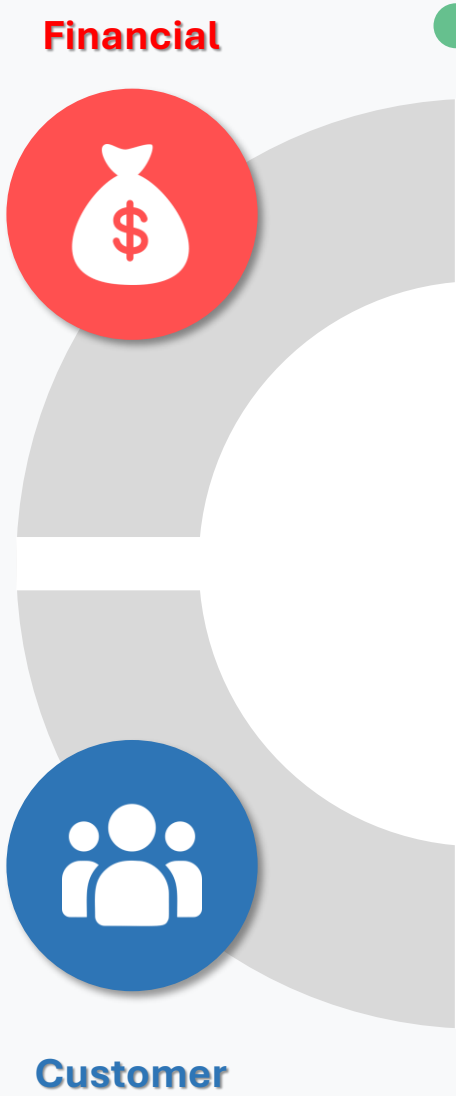
Financial

Metric	*Baseline	Year 1 Target	Year 2 Target	Year 3 Target
Net Loss reduction	-₱6.09B	Reduce net loss by ≥ 5 %	Reduce net loss by ≥ 10%	Reduce net loss by ≥ 20%
Ads Revenue	6.7B	+5%	+10%	+15%

***Note:** Baseline (2023-2024)*

Customer

Metric	*Baseline	Year 1 Target	Year 2 Target	Year 3 Target
IwantTFC Free to Paid Subscription conversion rate	Undisclosed	Establish Baseline	≥ 3%	≥ 5%
YouTube DAU/MAU	≈ 0.05% daily engaged vs subscriber base	Establish Baseline	≥ 5%	≥ 10%



Internal Business Process

Learning and Growth

BALANCED SCORECARD

Internal Business Process

Metric	*Baseline	Year 1 Target	Year 2 Target	Year 3 Target
Content production cycle time	Traditional/ long cycle (No baseline)	Reduce by 5%	Reduce by 10%	Reduce by 15%
Percentage of digital-first content	~55%	≥ 55% digital-first	≥ 65% digital-first	≥ 70% digital-first

Learning and Growth

Metric	*Baseline	Year 1 Target	Year 2 Target	Year 3 Target
Employee digital skills training	~65% workforce trained	≥ 75% workforce trained annually	≥ 85% workforce trained annually	≥ 95% workforce trained annually
Talent retention rate	~80%	≥ 80%	≥ 83%	≥ 85%

Thank you

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